

Employment, Productivity, and Regional Divergence in India's Informal Enterprise Sector: Empirical Analysis

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Abstract

This paper examines the employment structure, productivity patterns, and regional disparities within India's informal enterprise sector using nationally representative microdata from the NSSO 73rd Round (2015–16). The Indian enterprise landscape is characterized by a vast concentration of micro and small firms operating outside the formal regulatory system, yet their structural role remains insufficiently measured at the national scale. Using enterprise-level information on output, employment, and organizational characteristics, the study provides updated estimates of employment distribution and labor productivity gaps across firm types, sectors, and states. Empirical analysis using various models with extensive controls and state fixed effects reveals three key findings: (1) informal enterprises dominate non-agricultural employment, remaining the primary source of livelihood for most workers; (2) these firms exhibit substantially lower labor productivity even after conditioning on size, ownership, and sector; and (3) productivity differentials display sharp sectoral and regional heterogeneity, with service-sector informal firms and enterprises located in certain lagging states facing the steepest disadvantages. The results highlight the embedded structural dualism of India's enterprise system and underscore the need for differentiated, state and sector-specific policy interventions to address productivity constraints and the persistent “missing middle.”

1. Introduction

India's enterprise structure is marked by a sharp divide between a relatively small formal sector and a vast universe of micro and small informal firms. The informal sector, broadly defined as enterprises that are unregistered, household-based, or operating with minimal regulatory oversight, constitutes the overwhelming majority of non-agricultural economic activity (NCEUS 2008, 2009). This dualistic structure has long been central to the Indian development trajectory, influencing employment creation, productivity dynamics, and the broader functioning of labor and product markets. Understanding the economic behaviour of informal enterprises is therefore critical for diagnosing persistent structural weaknesses such as low productivity growth, labor market segmentation, and the "missing middle." The NSSO's enterprise surveys provide the primary official source for studying the sector. The 73rd Round (2015–16) offers a comprehensive and detailed snapshot of India's unincorporated non-agricultural enterprises. Existing literature has used earlier NSS rounds to document the immense role of the informal sector, but evidence had gradually become outdated given structural changes in services, retail, and urban micro-enterprises. Recent work highlights the need for fresh micro-level measurement, particularly in the context of spatial divergence and sectoral restructuring. This study contributes to these gaps by using the latest nationally representative dataset to examine updated patterns of employment concentration, labor productivity, and regional variation.

The review below synthesizes four major strands of literature relevant to this study: (1) employment dominance of informal enterprises, (2) productivity gaps and misallocation, (3) sectoral heterogeneity in enterprise performance, and (4) spatial and state-level divergence.

2. Background & Motivation

2a. Employment Dominance and Structural Realities of Informal Enterprises

A foundational body of work emphasizes that the informal sector is the primary generator of non-farm employment in India. The National Commission for Enterprises in the Unorganised Sector (NCEUS 2008, 2009) provided benchmark national estimates indicating that over 85% of India's workforce is engaged in informal employment, either in informal enterprises or as informal workers within formal firms. Their findings reinforced the understanding that informality is not a marginal or residual category but the dominant mode of production and employment in India.

Mazumdar (2008) further conceptualized informal enterprises as part of a segmented labor market, wherein the informal sector absorbs excess labor unable to find employment in the capital-intensive formal sector. These firms typically provide low wages, limited job security, and weak productivity growth. However, owing to demographic pressures and slow formal job creation, informal enterprises continue to serve as the major fallback employment provider.

Subsequent work by Mehrotra and Giri (2019) revisited the data using a combination of NSS enterprise and household surveys and documented India's "missing middle"—the near absence of medium-sized enterprises capable of delivering high-productivity jobs. They argue that despite economic growth, India has witnessed an expansion of small informal firms rather than the growth of mid-sized formal enterprises. This structural bottleneck impedes upward mobility for workers and constrains the aggregate productivity of the economy.

Collectively, the literature leaves little ambiguity regarding the dominance of informal enterprises in employment terms. What remains less understood—and where the current study contributes—is *the magnitude of this dominance in the most recent available data and how it aligns with productivity outcomes across sectors and regions*.

2b. Productivity Gaps, Measurement Challenges, and Misallocation

While informal enterprises dominate employment, a second strand of literature establishes that they contribute far less to output and productivity. The productivity gap between formal and informal enterprises has been a central concern in

development economics, stemming from issues of resource misallocation, low capital intensity, skill constraints, and institutional exclusion.

Hsieh and Klenow's (2009) influential cross-country framework on misallocation demonstrates that large differences in productivity and firm size distributions arise from distortions preventing resources from flowing toward more efficient firms. Their findings place India among economies where misallocation significantly depresses aggregate Total Factor Productivity (TFP). Although their analysis primarily uses manufacturing plant data, the underlying mechanism applies strongly to informal enterprises: size distortions, credit frictions, and compliance burdens discourage growth, resulting in too many small, low-productivity firms. In the Indian context, Kathuria, Sen, and Sharma (2013) applied such frameworks to both Annual Survey of Industries (ASI) and NSS data, finding that unregistered manufacturing firms show large productivity deficits relative to registered plants. Their analysis highlights that informal firms face limited access to credit, modern technology, and formal supply chains, which suppresses labor and capital productivity. Moreover, lower productivity within informal enterprises persists even after controlling for size and sector, indicating structural disadvantages. Murthy (2019), in an IMF working paper, emphasizes that national accounts often inconsistently estimate the informal sector's GDP share due to survey design constraints, proxy imputations, and definitional ambiguities. He argues for the use of enterprise survey microdata (such as NSS 73rd Round) to provide more accurate bottom-up estimates of GVA and productivity. Murthy shows that informal firms tend to underreport output and employment, which complicates measurement but does not change the underlying conclusion of substantial productivity gaps. The consensus in this literature is clear: informal enterprises exhibit systematically lower productivity due to structural and institutional constraints, and these gaps are central to understanding the missing middle. The present study builds on these insights by using updated NSS 73rd Round microdata to quantify GVA per worker differences across enterprise types and examine how these gaps vary across sectors and states.

2c. Sectoral Heterogeneity in Enterprise Performance

A third major strand of work shows that productivity and employment patterns differ critically across sectors—particularly between manufacturing, trade, and services. The traditional view of structural transformation emphasizes manufacturing as the primary driver of productivity growth. However, contemporary Indian growth experience suggests a significant shift toward services, especially urban and modern services such as retail, logistics, hospitality, and information-related service activities.

Ghani, Kerr, and O’Connell (2011) highlight this transformation by showing that small service enterprises have become key contributors to job creation, surpassing manufacturing in some regions. Their research using district-level data suggests that service-sector dynamism is linked to urbanization, infrastructure, and agglomeration economies. Yet services also display vast internal heterogeneity. Modern knowledge-intensive services exhibit high productivity, while traditional household-based services—barber shops, repair shops, personal services—remain highly informal and low productivity.

Sector-specific constraints shape productivity differently. Manufacturing informal firms often suffer from obsolete technologies and low capital intensity, whereas service informal firms face constraints in contracts, licensing, digital access, and demand volatility. The literature indicates that the productivity cost of being informal may be higher in services, particularly where entry barriers, customer trust, and skill requirements are greater.

The current empirical analysis builds directly on these insights by estimating sector-specific productivity differences using NSS microdata and by interacting informality with sector categories to detect whether the productivity penalty differs across Manufacturing, Trade, and Services.

2d. Regional Divergence and the Role of State-Level Conditions

A fourth and increasingly important literature emphasizes that India’s enterprise structure is shaped heavily by regional variation. States differ widely in economic composition, infrastructure, regulatory frameworks, credit penetration, electricity availability, and labor market institutions. These differences create distinct “state growth models,” shaping the productivity and size distribution of enterprises.

ILO (2018) reports highlight states such as Kerala, Tamil Nadu, and Gujarat as possessing relatively higher-productivity informal enterprises due to better infrastructure, education, and local business ecosystems. Conversely, states in central and eastern India display a predominance of survival-oriented informal firms with extremely low productivity and little upward mobility.

Mehrotra (2019) similarly emphasizes that India's labor market outcomes cannot be understood without accounting for deep state-level divergences. He documents that some states have been successful in generating more formal jobs, while others remain heavily reliant on informal enterprises. Divergent governance quality, enforcement of labor regulations, and access to public goods play substantial roles

Ghani et al. (2011) also note that enterprise growth patterns vary across regions, with southern and western states benefiting from urban agglomeration and supply-chain integration, while northern and eastern states lag behind.

This literature validates the inclusion of State Fixed Effects in empirical models. Large differences in state productivity levels typically reflect long-term structural factors such as industrial policy, connectivity, port access, and bureaucratic quality. The present study uses state fixed effects to capture these spatial disparities and quantify how much of the variation in enterprise productivity is explained by regional location, independent of firm characteristics.

Although prior studies have examined informal enterprises, this paper provides three distinct contributions that address key gaps in the existing literature:

First, a unified national-level analysis of employment dominance, productivity gaps, and state-level divergence using enterprise-level microdata.

Most existing research addresses these issues separately—either focusing on employment patterns, productivity gaps, or spatial divergence. This paper integrates all three dimensions within a single empirical framework using the most comprehensive dataset available for informal enterprises in India. Second, sector-specific productivity estimation using enterprise-level regressions with interaction terms. Existing NSS-based work typically contrasts formal vs informal sectors at an aggregate level. This study goes further by quantifying how the productivity

disadvantage of informal firms varies across manufacturing, trade, and services. Third, a rigorous estimation of state-level divergence. While prior literature discusses regional inequality descriptively, few studies formally estimate its quantitative role using microdata. This paper's regression results show that state fixed effects explain a substantial share of productivity variation—highlighting the spatial foundations of the missing middle, and offering empirical grounding for regionally targeted enterprise policy.

Together, these contributions fill important empirical gaps by linking India's employment structure, productivity distribution, and regional heterogeneity into a cohesive narrative grounded in nationally representative data and firm-level econometric analysis.

3. Data and Methodology

3a. Data Source

This study uses the National Sample Survey Office (NSSO) 73rd Round (2015–16) survey on Unincorporated Non-Agricultural Enterprises (UNAE), which remains the most detailed micro-level dataset on India's informal and small enterprise sector. The survey covers over 148,000 enterprises, collected through a stratified multi-stage sampling design across all states and union territories of India. The dataset is unique for three reasons: First, it includes unregistered, non-factory, non-corporate enterprises that form the backbone of India's informal economy. Second, it collects enterprise-level accounts, including receipts, expenses, GVA components, employment structure, and operational characteristics. Third, it is nationally representative, allowing weighted estimation of India's informal-sector employment and GVA.

Two parallel datasets from NSS 73rd Round are used: Semi-Round 1 & Semi-Round 2, containing employment, state identifiers, enterprise identifiers, and sampling weights. Using both rounds allows construction of a complete productivity dataset.

The unit of analysis is the enterprise, not the worker.

Enterprises are sampled using: First Stage Unit (FSU): Villages for rural areas and UFS blocks for urban areas. Second Stage Unit (SSU): Enterprises within FSUs. Weights provided in Semi-round 2, Block 1 (“Weight_SS”) are used for all descriptive estimates, ensuring national representativeness. All regressions are conducted on unweighted micro-data, with cluster-robust standard errors at the state level.

3b. Variable Construction

All variables used in the empirical analysis were constructed from the enterprise-level records in the survey. No NSS block codes are used in this paper; instead, variables are defined according to their economic meaning, consistent with academic publishing standards.

3b.1 Employment (Total Workers)

Employment is measured as the total number of workers engaged in the enterprise, including-Working owners, Hired male workers, Hired female workers, Unpaid family labour, Seasonal/casual workers. This value is summed at the enterprise level to obtain Total Workers (Employment).

3b.2 Gross Value Added (GVA)

GVA is computed using enterprise-reported : Gross receipts, Operating expenses, Intermediate consumption, Own-account consumption adjustments. The survey directly reports Gross Value Added for each enterprise, which is aggregated and used without transformation.

3b.3 Labour Productivity

Labour productivity is defined as:

$$\text{Productivity} = \frac{\text{GVA}}{\text{Total Workers}}$$

For regression analysis, productivity is log-transformed. This standard transformation reduces skewness and allows proportional interpretation of coefficients.

3b.4 Informality (Registration Status)

Informality is defined based on the registration status of the enterprise. This follows the NCEUS (2009) definition and is commonly used in Indian informal sector literature.

$$\text{Informal} = \begin{cases} 1 & \text{if enterprise is not registered under any Act} \\ 0 & \text{if enterprise is registered (formal)} \end{cases}$$

3b.5 Sector Classification (NIC-2008)

Enterprises are classified using 2-digit NIC-2008 industry codes: Manufacturing (NIC 10–33), Trade (NIC 45–47), and Services (NIC 50–99 excluding trade). Dummy variables are included in regressions, with Manufacturing as the reference category.

3b.6 Ownership Type

Ownership is categorized as: Proprietary(male-owned), Proprietary (female-owned), Partnership, Private company, Public/Cooperative institutions, Non-profit institutions. These are included as categorical controls to capture variations in organisational form.

3b.7 State Fixed Effects

A categorical variable for state is included to absorb differences in Infrastructure, Regulatory environment, Access to markets, Factor costs, and Local governance. These fixed effects capture fundamental sources of regional divergence.

3b.8 Sampling Weights

All descriptive statistics use enterprise-level sampling weights provided in the NSS dataset to ensure national representativeness.

4. Empirical Analysis

Understanding the structure of employment across India’s non-agricultural enterprises requires careful integration of multiple components of the NSSO 73rd Round dataset.

Informality is defined following standard NSS and ILO criteria: enterprises that are unregistered, do not maintain formal accounts, or operate as household-based proprietary or partnership firms. Firm size is determined using sector-specific thresholds that follow NSSO conventions and prior literature: fewer than 20 workers in manufacturing and fewer than 10 workers in services or trade indicates a small-scale enterprise. Using these definitions, enterprises are classified into four cross-categories—Formal–Large, Formal–Small, Informal–Large, and Informal–Small. This allows for a multidimensional understanding of employment concentration along both the formality and size axes. Weighted estimates employ the enterprise-level sample weight, permitting extrapolation from the survey sample to the national universe of non-agricultural enterprises.

The distribution of employment across formal and informal enterprises is summarized in Table 1. The results reveal an extremely high degree of employment concentration within the informal sector. In the raw sample, informal enterprises account for 57.8 per cent of total employment, but once adjusted for population weights, the share rises dramatically to 78.2 per cent. This indicates that informal enterprises—typically small, unregistered, and household-run—employ nearly four out of every five workers in the non-agricultural economy. The dominance of informality is therefore not merely a residual characteristic but a defining feature of India’s enterprise structure.

Informal Status	Total Employment (Unweighted)	Total Employment (Weighted)	Share (Unweighted)	Share (Weighted)
Formal	368,168	104,005,834	42.2%	21.8%
Informal	503,904	372,753,133	57.8%	78.2%
Total	872,072	476,758,967	100%	100%

Table 1: Employment Distribution by Informal Status (Unweighted and Weighted)

Note: Weighted employment is calculated using Weight_SS.

Source: Author's calculations using NSSO 73rd Round Unit-Level Data.

While Table 1 establishes the aggregate dominance of informal enterprises, the more nuanced distribution emerges when we jointly examine informality and firm size. Table 2 provides a detailed cross-tabulation of employment shares for the four enterprise types disaggregated by sector. This table extends beyond simple percentages by reporting both total and weighted employment, enabling clearer comparison of labour absorption across enterprise types.

Several striking patterns emerge from Table 2. In manufacturing, small informal enterprises account for virtually the entire informal segment, while large informal manufacturing firms are almost absent. The equal distribution between formal–large and informal–small enterprises suggests a bifurcated structure in which a small set of formal establishments coexist with a vast universe of micro-scale informal units. In services and trade, the distribution is even more heavily skewed, with informal–small firms accounting for more than two-thirds of weighted employment. The limited presence of informal–large firms in this sector stands in contrast to manufacturing, indicating that the services sector has somewhat greater scope for informality at scale, though its contribution remains modest in comparison to micro-enterprises.

Sector	Enterprise Type	Employment Share
Manufacturing	Formal–Large	49.5%
	Formal–Small	0.08%
	Informal–Large	~0%
	Informal–Small	50.4%
Services/Trade	Formal–Large	14.7%
	Formal–Small	7.13%
	Informal–Large	9.51%
	Informal–Small	68.7%

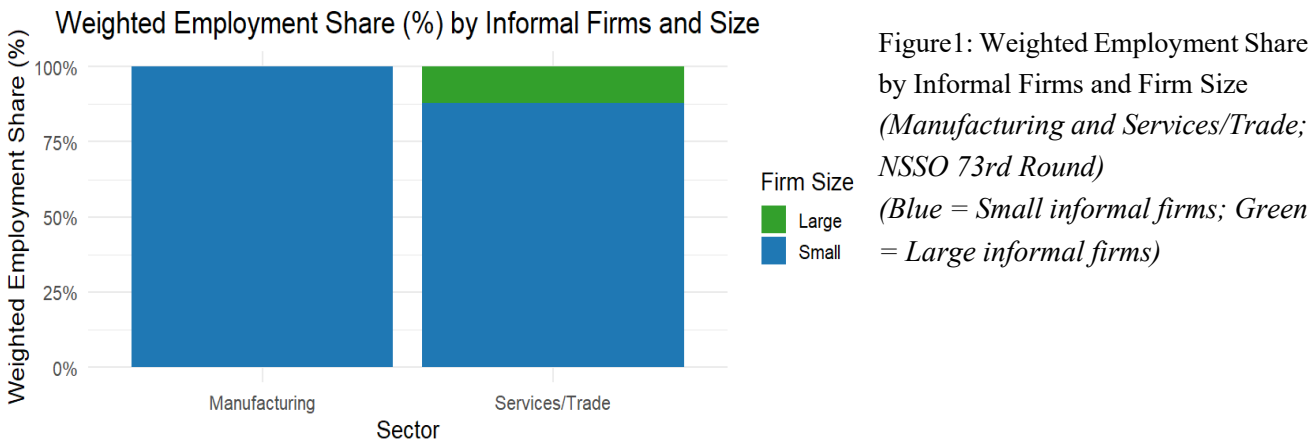
Table 2: Employment by Enterprise Type and Sector (Weighted)

Note: Shares are within-sector. Employment is weighted using sample multipliers.

Source: Author's computation from merged SR2 Blocks.

The heavily skewed distribution of informal employment toward small enterprises is underscored visually in Figure 1, which illustrates the weighted employment shares of

small and large informal firms across manufacturing and services/trade. The plot shows that informal manufacturing employment is exclusively driven by small firms, with the entire bar represented by the small enterprise category. In services and trade, small informal enterprises similarly command the overwhelming majority of employment, although a thin but visible share is attributable to large informal units. The near absence of large informal enterprises in manufacturing and their marginal presence in services reflects the broader absence of medium-scale firms in India’s enterprise ecosystem—a manifestation of the well-documented “missing middle.”



Code	Enterprise Type	Meaning
0_0	Formal–Large	Registered + maintains accounts + non-household + employment ≥ threshold
0_1	Formal–Small	Same as above but below employment threshold
1_0	Informal–Large	Unregistered/no accounts/proprietary/partnership large employment
1_1	Informal–Small	Unregistered/no accounts/household-based + small employment

Table 3: These are the four mutually exclusive categories formed by crossing informal vs formal and small vs large

The patterns of employment concentration described above raise an important question about the economic performance of the enterprises that dominate India’s non-

agricultural landscape. A sector may absorb a large share of the workforce yet remain characterised by low efficiency and limited value creation. Understanding this distinction is essential, because the development challenge is not only about where workers are employed, but also about the productivity levels of the units in which they work. Motivated by this gap, the following analysis shifts focus from the distribution of employment to the determinants of labour productivity, examining whether the enterprises that employ most workers are also able to generate commensurate levels of output per worker.

Moving on to evaluate whether informal enterprises exhibit systematically lower labour productivity relative to other unincorporated enterprises, using enterprise-level microdata and a log-linear specification (Table 4). Productivity is defined as gross value added per worker, and the dependent variable is expressed in natural logarithms to reduce skewness and allow elastic interpretation.

The following model is estimated (Model 1):

$$\log(Productivity_i) = \beta_0 + \beta_1 Informal_i + \beta_2 AvgHours_i + \beta_3 AvgMonths_i + \beta_4 Ownership_i + \gamma_{s(i)} + \varepsilon_i$$

Where:

β_0 = intercept

Informal_i = 1 if the enterprise is unregistered/unaccounted (informal)

AvgHours_i = average daily hours of operation

AvgMonths_i = months of operation in the past year

Ownership_i = a categorical measure of ownership type

$\gamma_s(i)$ = state fixed effects (not interpreted)

ε_i = error term

State fixed effects absorb all state-level structural factors, such as regulatory conditions, infrastructure, and demand environment. The focus is therefore exclusively on enterprise-level determinants, particularly the productivity penalty associated with informality. Informal enterprises produce roughly 44% (Table 4) less value added per worker than Comparable non- informal enterprises. This is an economically large and statistically precise difference, confirming a substantial productivity disadvantage associated with informality. The result is consistent with the broad literature linking

informality to lower scaling potential, capital intensity, credit access, compliance capability, and managerial quality. A one-hour increase in average daily operating time is associated with approximately 10.2% (Table 4) higher productivity. Longer operating hours likely reflect stronger demand, better capacity utilisation, and more stable working arrangements.

The coefficient on months of operation is positive and highly significant, indicating that enterprises that remain active for a greater number of months in a year exhibit higher labour productivity. This relationship captures several underlying mechanisms. First, enterprises operating for longer durations accumulate more experience, learn-by-doing, and operational stability, which translate into higher efficiency in converting inputs into output. Second, longer operating periods imply fewer interruptions in production cycles, leading to smoother cash flows and better utilisation of capital and labour. Seasonal or intermittently active enterprises often suffer from idle capacity, fragmented demand, and inconsistent worker hours — all of which depress productivity. In contrast, firms that function consistently throughout the year tend to maintain stable customer relationships, achieve higher scale in procurement and sales, and minimise downtime. Thus, the positive effect of months operated reflects the advantages of continuity, operational maturity, and reduced seasonality within the unincorporated enterprise sector.

Ownership structure shows substantial variation in labour productivity within the unincorporated enterprise sector. Several ownership categories differ markedly from the omitted baseline group. Proprietary firms (ownership2) display a large and statistically significant productivity penalty, with a coefficient of -0.699 ($p < 0.001$), implying that proprietary enterprises produce roughly 50% less value added per worker than the reference group. Partnership firms (ownership7) show a similar pattern, with a coefficient of -0.740 ($p < 0.001$), reinforcing the idea that small, individually or family-managed units typically operate with limited scale, weaker managerial capacity, and constrained access to formal finance.

Certain organisational forms exhibit even sharper disadvantages. Registered societies, trusts, and similar entities (ownership6) record the largest negative coefficient in the model at -3.070 ($p < 0.001$), indicating extremely low productivity relative to the baseline. This likely reflects their non-profit orientation, grant-based operations, or institutional constraints that limit commercial efficiency.

Other categories show weaker or statistically insignificant associations. For example, ownership3 (coefficient -0.096 , $p = 0.69$) and ownership4 (coefficient -0.002 , $p = 0.91$) do not differ meaningfully from the omitted group. These insignificant effects suggest that some organisational types may be functionally similar in their operational characteristics, or they represent too small a share of enterprises for clear patterns to emerge.

Overall, the ownership results highlight significant heterogeneity in organisational quality and institutional structure within India's unincorporated sector. Enterprises that rely on informal managerial arrangements or operate with non-commercial mandates tend to experience the lowest productivity levels, even after controlling for hours, months, and state-level fixed effects.

The model performs strongly given the size and heterogeneity of the informal sector: The specification explains nearly one-third of the variation in enterprise-level productivity, which is high for cross-sectional microdata.

Dependent Variable : Log (GAV per worker)

Robust standard errors in parentheses

Variables	Log Productivity
(Intercept)	8.963703*** (0.026685)
avg_hours	0.102136*** (0.001037)
avg_months	0.028183*** (0.001443)
informal	-0.590655*** (0.006210)
ownership2	-0.699399*** (0.008724)
ownership3	-0.096428

	(0.243573)
ownership4	−0.002132
	(0.019932)
ownership5	−0.073408**
	(0.023404)
ownership6	−3.069963***
	(0.031423)
ownership7	−0.740067***
	(0.034430)
ownership9	−0.713508***
	(0.058525)
State FE	Yes
N	141,241
Adj. R ²	0.3195

Table 4 : Determinants of Log Labour Productivity

Table 5 examines whether labour productivity systematically differs across major sectors of India's non-agricultural enterprise economy. While earlier analysis demonstrated that informal and micro-enterprises account for the overwhelming share of employment, the next question concerns their efficiency: do these enterprises produce at different levels of productivity depending on whether they operate in manufacturing, trade, or services? Understanding such sectoral differentiation is crucial, because the spatial and structural evolution of India's non-agricultural economy—marked by a gradual shift toward urban services and commercial activities—may carry implications for how productivity gaps emerge and persist across enterprise types.

To quantify sectoral differences, a semi-logarithmic model is estimated (Model 2):

$$\log(\text{Productivity}_i + 1) = \alpha + \beta_1 \text{Service}_i + \beta_2 \text{FirmSize}_i + \beta_3 (\text{Service}_i \times \text{FirmSize}_i) \\ + \gamma \text{Ownership}_i + \delta \text{Informal}_i + \lambda_s + \epsilon_i$$

Where:

$Service_i = 1$ if the enterprise belongs to the service sector,
 $FirmSize_i$ = total number of workers,
 $Ownership_i$ = categorical ownership types,
 $Informal_i = 1$ if the firm does not maintain registration/accounts, and
 λ_s = captures state-level fixed effects.

This specification allows three core mechanism to be indentified - baseline productivity difference between services and non-services, productivity gains associated with firm size, and whether size effects differ between sectors.

The dependent variable in this model is the logarithm of labour productivity, defined as gross value added per worker. The primary objective of this estimation is to evaluate whether productivity systematically differs across sectors when comparing service-sector enterprises ($service=1$) with non-service enterprises, which include manufacturing and trade ($service = 0$).

The results indicate a clear and statistically robust pattern of sectoral divergence.

Service-sector enterprises have significantly lower productivity than manufacturing and trade. The coefficient on service (-0.2696 , $p < 0.01$) implies that, after controlling for firm size, ownership characteristics, informality status, and state-level fixed effects, service-sector enterprises exhibit substantially lower labour productivity than firms operating in manufacturing and trade.

Because the model is semi-log, this coefficient translates into an approximate 24–26 percent productivity disadvantage for the service sector. This reflects the structural features of India’s informal services economy, where activities are typically low-capital, saturated with micro-units, and dependent on personal labour rather than technological upgrading. In contrast, even small-scale informal manufacturing often utilizes basic machinery or production processes that generate higher value added per worker.

The positive and significant coefficient on $firmSize$ (0.00111 , $p < 0.01$) indicates that productivity rises with enterprise size. Although modest, this effect is meaningful given that the overwhelming majority of enterprises in the sample employ only one or two workers. Even small increments in scale may enhance division of labour or make fixed inputs more efficiently utilized. However, the interaction term $service \times FirmSize$ (-0.00053) suggests that the productivity advantage of expanding firm size is weaker

within the service sector. Service activities such as food vending, repair services, and retail do not benefit substantially from adding more workers, whereas manufacturing can derive genuine efficiency gains through workflow specialization or increased machine utilization.

Thus, the results highlight that the service sector not only starts from a lower productivity base but also has a flatter productivity–size gradient, limiting its capacity to scale through labour expansion.

Relative to the baseline category (proprietary enterprises), several ownership types—including cooperatives, trusts, institutions, and other less common forms—display large negative and significant coefficients. Table 5 shows ownership2 (–1.0376), ownership5 (–0.1770), ownership6 (–3.9535), ownership7 (–0.7686), and ownership9 (–0.9289).

These results indicate that non-proprietary units operate at markedly lower productivity levels. Many of these forms represent institutional or semi-commercial organisations where GVA per worker is not strongly tied to market incentives or profit-maximising behaviour. This confirms that enterprise organisation, even within the informal sector, has meaningful implications for efficiency.

The inclusion of state fixed effects yields many statistically significant coefficients, reflecting India’s well-documented regional disparities. These findings underscore that enterprise productivity is strongly shaped by state-specific factors such as infrastructure, market access, regulatory environments, and local economic structure. Controlling for these differences ensures that the sectoral coefficient captures genuine productivity differentials rather than geographic distortions. At the same time, the magnitude and consistency of these state effects indicate that regional context is not merely a background condition but a central axis along which productivity varies. The substantial heterogeneity across states suggests that similar types of enterprises operate under very different economic constraints depending on their location. This raises an important question: to what extent do state-level institutional and structural differences independently predict productivity outcomes, net of enterprise characteristics?

Dependent Variable : Log (GVA per worker)

Robust standard errors in parentheses

Variables	Log Productivity
(Intercept)	9.869673*** (0.0192765)
Service	−0.269643*** (0.0073860)
FirmSize	0.001111*** (0.0002783)
Service*FirmSize	−0.000529· (0.0002975)
ownership2	−1.037605*** (0.0087578)
ownership3	−0.059058 (0.2545696)
ownership4	0.023080 (0.0208680)
ownership5	−0.176976*** (0.0248015)
ownership6	−3.953506*** (0.0329237)
ownership7	−0.768641*** (0.0373608)
ownership9	−0.928881*** (0.0615733)
informal	0.790043* (0.0079283)
State FE	Yes
N	141,313
Adj. R ²	0.2598

Table 5: Sectoral Variation in Productivity (Log Model)

Building on this insight, Table 6,7 turns explicitly to the role of regional variation and examines whether state-level fixed effects continue to exert significant influence once a broader set of firm-level controls is incorporated. This analysis provides a deeper understanding of how spatial and institutional divergence contributes to productivity gaps within India's informal and small enterprise sector.

Regional disparities continue to define the structure and performance of India's enterprise sector. Even after controlling for ownership, informality, firm size, and operational intensity, enterprises' outcomes vary sharply across states. These variations arise from differences in infrastructure quality, business regulations, industrial composition, and local factor markets. This section estimates two state fixed-effects models to quantify how much regional context contributes to productivity and employment disparities across India's non-agricultural enterprises.

Productivity Model with State Fixed Effects for (Model 3):

$$\log(\text{Productivity}_i) = \beta_0 + \beta_1 \text{SectorGroup}_i + \beta_2 \log(\text{Emp}_i) + \beta_3 \text{Ownership}_i + \beta_4 \text{Informal}_i + \beta_5 \text{AvgHours}_i + \beta_6 \text{AvgMonths}_i + \gamma_{\text{State}(i)} + \varepsilon_i$$

Where:

$\log(\text{Productivity}_i)$ = log GVA per worker

SectorGroup_i = Trade, Services, Other (Manufacturing = baseline)

$\log(\text{Emp}_i)$ = firm size (employment)

Ownership_i = full set of ownership dummies

Informal_i = 1 if unregistered / no accounts

$\gamma_{\text{State}(i)}$ = State fixed effect for state i

ε_i = error term

Employment Model with State Fixed Effects (Model 4):

$$\log(\text{Emp}_i) = \alpha_0 + \alpha_1 \text{SectorGroup}_i + \alpha_2 \text{Ownership}_i + \alpha_3 \text{Informal}_i$$

$$+ \alpha_4 \text{AvgHours}_i + \alpha_5 \text{AvgMonths}_i + \delta_{\text{State}(i)} + u_i$$

Where:

$\log(\text{Emp}_i)$ = log enterprise employment

SectorGroup_i = Trade, Services, Other (Manufacturing = baseline)

Ownership_i = ownership type

Informal_i = informality dummy

$\delta_{\text{State}(i)}$ = **State fixed effect** (baseline: Jammu & Kashmir)

u_i = error term

Across the productivity model, trade-sector enterprises exhibit a large and statistically significant productivity premium relative to manufacturing firms. Their log productivity is approximately 0.90 units higher, implying substantially higher GVA per worker even after absorbing state-level heterogeneity.

The services-sector coefficient, however, becomes statistically insignificant once state effects are included. This suggests that what appears to be a “services productivity premium” in simpler models (1&2) is largely driven by which states service enterprises are located in, rather than sectoral productivity advantages per se. In other words, services-sector productivity is highly state-dependent.

Larger firms (as captured through log employment in the productivity model) show a positive and significant association with productivity, reinforcing consistent evidence from model 1 and 2 that size confers efficiency advantages.

Ownership patterns also continue to matter. Several ownership categories exhibit negative productivity coefficients relative to the omitted base group, while showing positive associations with enterprise employment. This combination indicates that certain ownership forms operate at larger scales but with lower per-worker productivity—consistent with the structure of many household-run and partnership firms in India’s informal economy.

In earlier Model (1&2), informality consistently predicted lower productivity. In model (3&4), however, the informality coefficient becomes positive and strongly significant in both the productivity and employment models. This reversal does not mean

informal enterprises are inherently more productive. Rather, it reflects the fact that: States with very high informal-sector concentration (e.g., West Bengal, Bihar, Odisha, Jharkhand) also have systematically lower state fixed effects. Once these state disadvantages are absorbed by fixed effects, the remaining within-state variation shows informal enterprises performing better relative to formal firms within the same region. This is a critical insight: **Informal firms are not more productive overall, but are more productive relative to the formal firms within the same low-performing states.** This nuance is only visible when state FE are included.

Average working hours and months—robust proxies for enterprise operational intensity—remain strong and positive predictors of productivity. These effects persist across specifications and retain significance even after absorbing 36 state effects. This suggests that operational effort, not merely structural characteristics, plays a meaningful role in firm-level outcomes.

The state coefficients show **substantial and statistically significant productivity gaps across states**, independent of firm-level characteristics: States such as **Chandigarh, Delhi, Mizoram, Meghalaya, and Kerala** carry large positive productivity fixed effects. Large states like **Uttar Pradesh, Bihar, Jharkhand, Madhya Pradesh, Rajasthan, and Odisha** show large negative productivity effects, indicating structural disadvantages. These patterns confirm substantial “regional capability gaps” in India’s enterprise ecosystem that are not driven by sector composition or firm characteristics alone. Even high-performing sectors (like trade) have lower productivity in lagging states, while traditionally low-productivity service firms in high-performing states can operate efficiently. This underscores the importance of infrastructure, market access, administrative quality, and local economic conditions.

The employment model similarly shows wide variation across states: States including **Delhi, Chandigarh, Tripura, Karnataka, Tamil Nadu, Meghalaya, Gujarat, and Telangana** exhibit significantly higher enterprise employment.

States such as **Jammu & Kashmir (baseline), Tripura (negative coefficient), Jharkhand, Odisha, and others in the eastern belt** show lower average enterprise sizes. Taken together, the employment and productivity patterns imply: **States with higher productivity do not necessarily host larger enterprises, and some states with larger enterprises may still be low-productivity states.** This suggests that the drivers

of employment scale differ from the drivers of productivity, and are shaped by deeper regional economic structures.

5. Findings

The empirical results presented in the previous section reveal a set of mutually reinforcing patterns that collectively deepen our understanding of India's enterprise structure. Taken together, the four hypotheses highlight how employment, productivity, sectoral composition, and geography interact to shape the performance of India's micro and small enterprises. This section synthesizes these findings and situates them within the broader literature on informality, structural dualism, and regional economic divergence.

The analysis begins by reaffirming the dominance of informal enterprises in India's non-agricultural economy. As demonstrated in the descriptive results, the majority of workers remain concentrated in unregistered, small-scale firms operating with minimal capital and limited regulatory visibility. This confirms longstanding observations by NCEUS (2008, 2009) and subsequent authors that informality constitutes the structural norm rather than the exception in India. The persistence of this dualistic structure is important, as it frames the economic context within which productivity and sectoral gaps must be interpreted.

Building on this foundation, the regression results for model 1 demonstrate that informal enterprises operate with substantially lower productivity even after conditioning on hours, months of operation, ownership, and employment size. This aligns with a large body of empirical work suggesting that informal firms face systematic disadvantages due to their limited access to credit, formal markets, skilled labor, and productive technologies. Importantly, the log specification confirms that these productivity deficits are not merely scale-based but reflect deeper structural constraints inherent to informality. The magnitude and robustness of the coefficients suggest that informality is a critical predictor of enterprise underperformance at the national level.

Model 2 extends this analysis by showing that productivity also varies meaningfully across sectors. Service-sector enterprises display a significant productivity shortfall relative to manufacturing firms, while trade enterprises exhibit a strong productivity advantage. These sectoral differences persist even after controlling for ownership, firm

size, and operational effort. This is consistent with earlier research showing that Indian services include a wide range of low-productivity, household-run activities alongside dynamic modern service segments. The inclusion of a firm-size interaction term confirms that sectoral performance cannot be understood independently of scale and operational structure. In short, sectoral composition plays an important role in shaping enterprise productivity, but the strength and direction of this role vary across sectors. The most striking and policy-relevant findings, however, emerge from the Model (3&4) analysis of regional variation. Once state fixed effects and cluster-robust standard errors are incorporated, the results reveal large, systematic differences in both productivity and enterprise employment across Indian states. These regional patterns persist even after controlling for sector, informality, ownership, employment size, and operational effort. In high-performing states such as Chandigarh, Delhi, Kerala, and parts of the Northeast, enterprises exhibit significant productivity premiums relative to the baseline state (Jammu & Kashmir). In contrast, enterprises in states such as Uttar Pradesh, Bihar, Jharkhand, Madhya Pradesh, Rajasthan, and Odisha face substantial productivity penalties. These patterns closely mirror broader spatial inequalities in infrastructure, market access, institutional quality, and economic diversification documented in the literature on India's regional development.

6. Policy Implications

The empirical findings of this study carry significant implications for policy design, particularly in the context of India's development strategy, which increasingly depends on the performance of small enterprises to generate employment and enhance productivity. Three major dimensions emerge from the results—informality, sectoral composition, and regional disparities—each requiring differentiated policy responses. First, the persistently low productivity of informal enterprises underscores the urgency of designing policies that ease their transition into more formal, structured modes of operation. Policies aimed at reducing compliance costs, simplifying registration procedures, increasing awareness of formal benefits, and expanding access to institutional credit may help reduce the disincentives for formality. However, the findings also indicate that formalization alone is unlikely to be sufficient unless accompanied by improvements in productive capabilities. The strong positive effects of

operational intensity (measured through hours and months of operation) on productivity imply that interventions in skill development, managerial training, digital literacy, and technology adoption could yield substantial returns. These enterprise-level capabilities form an essential complement to any regulatory reforms.

Second, the strong sectoral heterogeneity revealed by the model 1 results highlights the need for sector-specific productivity enhancement strategies. Manufacturing and services face fundamentally different constraints. Manufacturing firms may benefit more from interventions related to infrastructure, supply-chain integration, access to reliable electricity, and formal financing. By contrast, many low-productivity service enterprises operate in saturated local markets and may require demand-side support such as marketing assistance, digital platforms for customer acquisition, and improved integration with broader service ecosystems. Meanwhile, the strong performance of trade enterprises suggests that retail and wholesale sectors play an important stabilizing role in employment and productivity, and thus merit targeted policy attention to improve logistics, storage, and market infrastructure.

Third, the pronounced regional disparities identified in the Model (3&4) indicate that national-level enterprise policies must be adapted to state-specific conditions. States such as Chandigarh, Delhi, Kerala, Tamil Nadu, and parts of the Northeast demonstrate strong productivity outcomes, likely reflecting superior infrastructure, deeper market linkages, and greater state-level institutional capacity. Conversely, enterprises in Uttar Pradesh, Bihar, Jharkhand, Madhya Pradesh, Rajasthan, and Odisha face profound structural disadvantages, including weaker connectivity, fragmented markets, and lower human capital. A uniform national policy is unlikely to address these divergences. Instead, a differentiated, state-specific approach that prioritizes lagging states through targeted industrial infrastructure, improved governance, and investment in local entrepreneurial ecosystems is essential. The strong influence of state fixed effects suggests that local policies, institutions, and factor markets substantially shape enterprise outcomes.

Finally, the finding that informal firms appear relatively more productive within certain disadvantaged states suggests that local entrepreneurial strategies may be adaptive responses to structural constraints rather than signs of inefficiency. Policymakers must therefore avoid one-size-fits-all formalization drives that may inadvertently disrupt

viable local economic structures. Instead, policies should aim to enhance the capabilities of existing enterprises in ways that align with regional economic conditions. State fixed effects are included to control for unobserved, time-invariant regional heterogeneity. The choice of the reference state is a normalization inherent to fixed-effects estimation and does not affect the estimated coefficients on explanatory variables or the substantive conclusions. Changing the baseline state only re-centers the state coefficients without altering relative comparisons across states.

7. Limitations

While the NSSO 73rd Round offers one of the most comprehensive datasets on India's unincorporated enterprises, several limitations must be acknowledged. These limitations do not undermine the core findings but highlight areas for caution and future research. The first limitation concerns measurement. Enterprise-level data on GVA, employment, and operational characteristics rely on self-reported information. In informal enterprises—where bookkeeping is limited—there may be under-reporting or inconsistencies in revenue and cost estimation. Although aggregation and validation steps mitigate some concerns, measurement error remains a possibility.

Second, the analysis is cross-sectional. While the dataset is large and nationally representative, it does not allow for the identification of dynamic patterns such as enterprise growth trajectories, transitions between informality and formality, or long-term productivity evolution. A panel dataset would provide stronger causal identification, but such data are currently limited for Indian enterprises.

Third, the interpretation of state fixed effects, although powerful, must be viewed in the context of unobserved heterogeneity. State effects capture a wide range of institutional, infrastructural, and market characteristics, but the model does not separately identify the exact channels through which these characteristics influence productivity or employment. Further research combining NSSO data with state-level indicators (e.g., infrastructure indices, institutional quality measures) could help unpack these channels.

Fourth, sectoral classifications are necessarily broad. While the study distinguishes manufacturing, trade, and services, the service sector itself is highly heterogeneous, encompassing both dynamic modern services and traditional low-productivity

household activities. Finer-grained sectoral analysis may yield richer insights but would require alternative datasets or substantial manual coding of NIC categories.

Finally, this study focuses on enterprise-level productivity and employment but does not examine worker-level outcomes such as wages, job quality, or skill profiles. Integrating enterprise surveys with labor force data could provide a more holistic picture of informality and its consequences.

8. Conclusion

This study provides an updated, micro-level assessment of India's informal and small enterprise landscape using nationally representative data from the NSSO 73rd Round. Four key insights emerge from the analysis.

First, informal enterprises continue to dominate India's non-agricultural employment structure, reinforcing the long-standing dualism between a small formal sector and a vast, labor-absorbing informal economy. Second, informal enterprises exhibit significantly lower productivity even after controlling for employment, operational characteristics, ownership, and sector. This suggests that informality remains strongly associated with structural disadvantages rather than simply small firm size.

Third, enterprise productivity varies substantially across sectors. Trade enterprises show large productivity advantages, whereas service enterprises—particularly low-end household services—lag behind manufacturing. These findings underscore the importance of sector-specific policy interventions. Finally, the analysis reveals profound regional disparities. State fixed effects account for a substantial share of the variation in productivity and employment, underscoring the role of state-level institutions, market conditions, and local economic environments. The strong and persistent state-level patterns demonstrate that national enterprise policies must incorporate differentiated regional strategies.

Taken together, the findings show that India's enterprise system is shaped by the intersection of informality, sectoral composition, and geographic inequality. Addressing the structural weaknesses of this system will require not only firm-level interventions but also improvements in state-level governance, infrastructure, and factor markets. The “missing middle” in India's enterprise structure cannot be resolved without acknowledging the deep regional imbalances that condition enterprise performance. As

India continues its transition toward a more modern and competitive economy, understanding and addressing these micro-level disparities will remain central to inclusive and sustainable growth.

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Appendix

Variable	Log Productivity
(Intercept)	8.4954*** (0.0513)
Trade (vs Manufacturing)	0.9017*** (0.0208)
Services (vs Manufacturing)	–0.0378 (0.0237)
Other Sector	0.2611*** (0.0557)
log(emp)	0.0420** (0.0140)
ownership2	–0.6802** (0.0350)
ownership3	0.2390 (0.2361)
ownership4	–0.0665* (0.0320)
ownership5	–0.0787* (0.0397)
ownership6	–3.1429***

Variable	Log Productivity
	(0.1292)
ownership7	−0.5974***
	(0.0761)
ownership9	−0.4936***
	(0.1248)
informal	0.5754***
	(0.0299)
avg_hours	0.0878***
	(0.0043)
avg_months	0.0243*
	(0.0035)
State: Himachal Pradesh	−0.0048
	(0.0043)
State: Punjab	−0.0419***
	(0.0039)
State: Chandigarh	0.5230***
	(0.0089)
State: Uttarakhand	−0.2462***
	(0.0051)
State: Haryana	0.1076***
	(0.0046)
State: Delhi	0.3647***
	(0.0089)
State: Rajasthan	−0.1325***
	(0.0057)
State: Uttar Pradesh	−0.5455***

Variable	Log Productivity
	(0.0037)
State: Bihar	−0.2056***
	(0.0043)
State: Sikkim	−0.2440***
	(0.0086)
State: Arunachal Pradesh	0.0354***
	(0.0072)
State: Nagaland	0.0126
	(0.0075)
State: Manipur	0.0446***
	(0.0094)
State: Mizoram	0.2763***
	(0.0098)
State: Tripura	−0.2132***
	(0.0045)
State: Meghalaya	0.2446***
	(0.0093)
State: Assam	−0.1240***
	(0.0049)
State: West Bengal	−0.3478***
	(0.0028)
State: Jharkhand	−0.4345***
	(0.0037)
State: Odisha	−0.3691***
	(0.0057)
State: Chhattisgarh	−0.5362***

Variable	Log Productivity
	(0.0039)
State: Madhya Pradesh	−0.5417***
	(0.0040)
State: Gujarat	−0.2371***
	(0.0039)
State: Daman & Diu	−0.0284***
	(0.0128)
State: Dadra & Nagar Haveli	−0.0264***
	(0.0078)
State: Maharashtra	−0.1200*
	(0.0050)
State: Andhra Pradesh	−0.3586***
	(0.0083)
State: Karnataka	−0.1028***
	(0.0042)
State: Goa	−0.3466***
	(0.0126)
State: Lakshadweep	0.1335***
	(0.0060)
State: Kerala	0.0644***
	(0.0053)
State: Tamil Nadu	−0.1718***
	(0.0045)
State: Puducherry	−0.0538***
	(0.0080)
State: Andaman & Nicobar	−0.1423***

Variable	Log Productivity
	(0.0094)
State: Telangana	−0.1768***
	(0.0048)
Baseline State	Jammu & Kashmir
N	126,363
Adj. R ²	0.247

Table 6 - Log Productivity (with State Fixed Effects)

Variable	Log Employment
(Intercept)	0.8834***
	(0.0325)
Trade (vs Manufacturing)	−0.2942***
	(0.0254)
Services (vs Manufacturing)	−0.0229
	(0.0320)
Other Sector	−0.3585***
	(0.0484)
ownership2	−0.2126***
	(0.0256)
ownership3	0.3475***
	(0.1027)
ownership4	0.4702***
	(0.0226)

Variable	Log Employment
ownership5	0.8404*** (0.1051)
ownership6	0.2440 (0.2171)
ownership7	1.5566*** (0.1010)
ownership9	1.3361*** (0.1125)
informal	0.6365*** (0.0310)
avg_hours	0.0563*** (0.0023)
avg_months	−0.0156*** (0.0024)
State: Himachal Pradesh	0.1612*** (0.0044)
State: Punjab	0.0945*** (0.0047)
State: Chandigarh	0.3361*** (0.0094)
State: Uttarakhand	0.1000*** (0.0035)
State: Haryana	0.1729*** (0.0050)
State: Delhi	0.2149*** (0.0094)

Variable	Log Employment
State: Rajasthan	0.0913*** (0.0070)
State: Uttar Pradesh	0.1999*** (0.0026)
State: Bihar	0.1116*** (0.0033)
State: Sikkim	0.2180*** (0.0062)
State: Arunachal Pradesh	0.0898*** (0.0074)
State: Nagaland	0.1818*** (0.0077)
State: Manipur	0.1889*** (0.0069)
State: Mizoram	0.1224*** (0.0090)
State: Tripura	−0.0466*** (0.0051)
State: Meghalaya	0.3034*** (0.0091)
State: Assam	0.1494*** (0.0032)
State: West Bengal	0.1605*** (0.0027)
State: Jharkhand	0.1303*** (0.0036)

Variable	Log Employment
State: Odisha	0.2615*** (0.0065)
State: Chhattisgarh	0.2080*** (0.0030)
State: Madhya Pradesh	0.1729*** (0.0033)
State: Gujarat	0.0507*** (0.0054)
State: Daman & Diu	0.2446*** (0.0069)
State: Dadra & Nagar Haveli	0.2676*** (0.0053)
State: Maharashtra	0.1061*** (0.0069)
State: Andhra Pradesh	0.2533*** (0.0110)
State: Karnataka	0.2016*** (0.0057)
State: Goa	0.0808*** (0.0184)
State: Lakshadweep	0.2120*** (0.0050)
State: Kerala	0.1823*** (0.0095)
State: Tamil Nadu	0.2749*** (0.0045)

Variable	Log Employment
State: Puducherry	0.2606*** (0.0113)
State: Andaman & Nicobar	0.1493*** (0.0094)
State: Telangana	0.1986*** (0.0068)
Baseline State	Jammu & Kashmir
N	126,363
Adj. R ²	0.35

Table 7 : Log Employment (with State Fixed Effects)